CAPSTONE PROJECT REPORT

Implementation of the Order-to-Cash (O2C) Process in SAP Sales & Distribution (SD) Module

Submitted by

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1. Introduction

Enterprise Resource Planning (ERP) systems integrate core business functions into a unified platform. SAP is a leading ERP used globally to manage finance, sales, procurement, and production with a single source of truth.

The SAP Sales and Distribution (SD) module manages customer-facing processes including order management, delivery, billing, and pricing. It connects seamlessly with inventory and finance.

The Order-to-Cash (O2C) process represents the full lifecycle of a sales transaction—from customer inquiry to payment collection. A well-designed O2C process improves accuracy, reduces delays, and strengthens cash flow management.

2. Problem Statement

Company: NovaTex Industries Pvt. Ltd., a mid-sized textile manufacturer with multiple plants and warehouses, serving domestic and international customers.

Before SAP implementation, NovaTex faced issues such as manual order processing, lack of real-time inventory visibility, invoice discrepancies, delayed payments, and slow reporting—leading to operational inefficiencies and reduced customer satisfaction.

3. Objectives of the Project

- Design a complete O2C workflow using SAP SD.
- Reduce manual errors and improve process automation.
- Enable real-time inventory and order tracking.
- Automate billing and payment collection.
- Integrate sales, logistics, and finance functions.

4. Order-to-Cash Process

4.1 Customer Inquiry and Quotation: Capture customer requirements and provide pricing and delivery terms.

4.2 Sales Order Creation: Create a formal sales order including product, quantity, and pricing details.

4.3 Availability Check (ATP): Verify real-time stock to confirm delivery commitments.

4.4 Delivery Processing: Generate outbound delivery for picking, packing, and shipping.

4.5 Goods Issue: Update inventory and record financial impact.

4.6 Billing: Generate invoice and post to accounts receivable.

4.7 Payment Collection: Record incoming payments and clear outstanding invoices.

5. O2C Process Flow Diagram

Figure: Order-to-Cash Process Flow in SAP SD

6. Features and Benefits

• Automation reduces manual work and errors.

• Real-time visibility improves decision-making.

• Integration ensures seamless data flow across departments.

• Improved customer satisfaction through accurate and timely service.

• Scalable system for business growth.

7. Unique Points

• Real-world business scenario used for implementation.

• Multi-plant ATP ensures accurate inventory commitment.

• Automated pricing and dunning improve efficiency.

• Measurable improvements in delivery accuracy and cash flow.

8. Future Improvements

• SAP Fiori mobile applications.

• AI-based demand forecasting.

• Automated credit risk analysis.

• Real-time dashboards and analytics.

9. Conclusion

The SAP SD O2C process provides a structured and efficient way to manage sales transactions. By integrating departments and automating workflows, it enhances operational efficiency, improves customer satisfaction, and strengthens financial control.